



UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program / Seventh Semester – Spring 2022

Paper: Public Sector Economics

Course Code: ECON-401A

Roll No.

Time: 3 Hrs. Marks: 60

THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Answer the following short questions:

(6x5=30)

- i. What is meant by the term TAX?
- ii. What are the main sources of public revenue?
- iii. Explain the concept of optimal Taxation.
- iv. Explain the concept of Moral hazard with examples.
- v. Explain the difference between public and private goods with the help of examples.
- vi. Differentiate between progressive and proportional taxes.

Q.2. Answer the following questions.

(3x10=30)

- i. Discuss; how Govt. debt and budget deficit is used to stabilize the economy?
- ii. What are the fiscal reforms taken by Govt. of Pakistan during the last five years?
- iii. Discuss, how can market failures be corrected through government intervention?



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Q.1. Answer the following short questions:

(6x5=30)

- i. What is meant by the term **EXTERNALITY**?
- ii. Explain the concept of **free rider** with examples.
- iii. Explain the term **NPV (NET PRESENT VALUE)** with its economic application.
- iv. Differentiate between public and private expenditures with the help of examples.
- v. What is the difference between private and social costs, and how do they relate to pollution and production?
- vi. Differentiate between specific tax and advalorem tax.

Q.2. Answer the following questions.

(3x10=30)

- i. What is market failure and role of government? Discuss in detail.
- ii. What are the problems faced by public enterprises in Pakistan? And what is the way out in your opinion?
- iii. Discuss each of the following; as being a public good or private good and why, in case of Pakistan?
 - a) Special education
 - b) National defense
 - c) Railways services

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B.S. 4 Years Program : Seventh Semester – Fall 2021

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Paper: Public Sector Economics

(6x5=30)

Q.1. Answer the following short questions:

- i. What are the objectives of making a public budget?
- ii. Explain the types of externalities with examples.
- iii. Explain the concept of Moral hazard with examples.
- iv. Explain the term IRR (INTERNAL RATE OF RETURN) with its economic application.
- v. What is rivalry and excludability in consumption? Give an example.
- vi. Differentiate between progressive and proportional taxes.

(3x10=30)

Q.2. Answer the following questions.

- i. Why Public debt of Pakistan (both internal & external) is high and increasing? Discuss in detail.
- ii. What are the main causes of market failure? Discuss in detail.
- iii. Explain the different types of taxes imposed in Pakistan and their impact on economy.